

Salesforce Announces Fourth Quarter and Fiscal Year 2025 Results

Total Remaining Performance Obligation \$63B, up 11% Y/Y; Operating Cash Flow \$13B, up 28% Y/Y

SAN FRANCISCO, Calif. - February 26, 2025 - Salesforce (NYSE: CRM), the world's #1 AI CRM, today announced results for its fourth quarter and full fiscal year ended January 31, 2025.

FY25 Agentforce & Data Cloud

- **\$900 million Data Cloud & AI annual recurring revenue, up 120% year-over-year ("Y/Y")**
- **Since October, closed 5,000 Agentforce deals, including more than 3,000 paid**
- **Data Cloud surpassed 50 trillion records, which doubled Y/Y**
- **Nearly half of the Fortune 100 are both AI & Data Cloud customers, and all of our top 10 wins in Q4 included Data and AI**
- **On help.salesforce.com, Agentforce has handled 380,000 conversations, achieving an 84% resolution rate, with only 2% of the requests requiring human escalation**

FY25 Results

- **Fourth quarter revenue of \$10.0 billion, up 8% Y/Y, up 9% in constant currency ("CC"), inclusive of subscription & support revenue of \$9.5 billion, up 8% Y/Y, up 9% in CC**
- **Current remaining performance obligation of \$30.2 billion, up 9% Y/Y, up 11% in CC**
- **Total remaining performance obligation of \$63.4 billion, up 11% Y/Y**
- **FY25 revenue of \$37.9 billion, up 9% both Y/Y & in CC, inclusive of subscription & support revenue of \$35.7 billion, up 10% both Y/Y & in CC**
- **FY25 GAAP operating margin of 19.0% and non-GAAP operating margin of 33.0%**
- **FY25 operating cash flow of \$13.1 billion, up 28% Y/Y, and free cash flow of \$12.4 billion, up 31% Y/Y**
- **Returned \$7.8 billion in the form of share repurchases and \$1.5 billion in dividend payments to stockholders; total cash returned to stockholders of \$9.3 billion in FY25**

Full Year FY26 Guidance

- **Initiates revenue guidance of \$40.5 billion to \$40.9 billion, up 7% - 8% both Y/Y & in CC**
- **Initiates subscription & support revenue growth guidance of approximately 8.5% Y/Y & approximately 9% in CC**
- **Initiates GAAP operating margin guidance of 21.6% and non-GAAP operating margin guidance of 34.0%**
- **Initiates operating cash flow growth guidance of approximately 10% to 11% Y/Y**

"We had an incredible quarter and year, with strong performance across all our key metrics, including the highest cash flow in our company's history and more than \$60 billion in RPO," said Marc Benioff, Chair and CEO, Salesforce. "No company is better positioned than Salesforce to lead customers through the digital labor revolution. With our deeply unified platform, seamlessly integrating our Customer 360 apps, Data Cloud and Agentforce, we're already delivering unprecedented levels of productivity, efficiency and cost savings for thousands of companies."

"We closed out the year with strong results and our relentless focus on profitable growth drove record-breaking revenue, margin, and cash flow, setting a strong foundation for the company into FY26" said Amy Weaver, President and CFO. "Our capital return program continued to deliver incredible value to our shareholders, returning \$21 billion since inception."

Guidance

Our guidance includes GAAP and non-GAAP financial measures.

	Q1 FY26 Guidance	Full Year FY26 Guidance
Total revenue	\$9.71 - \$9.76 billion	\$40.5 - \$40.9 billion
Y/Y growth	6% - 7%	7% - 8%
FX impact ⁽¹⁾	(\$50M) Y/Y FX	(\$150M) Y/Y FX
CC growth ⁽²⁾	7%	7% - 8%
Subscription & support revenue growth (Y/Y) ⁽³⁾	N/A	Approximately 8.5%
CC growth ⁽²⁾⁽³⁾	N/A	Approximately 9%
GAAP operating margin	N/A	21.6%
Non-GAAP operating margin ⁽²⁾	N/A	34.0%
GAAP diluted net income per share ⁽²⁾	\$1.49 - \$1.51	\$6.95 - \$7.03
Non-GAAP diluted net income per share ⁽²⁾	\$2.53 - \$2.55	\$11.09 - \$11.17
Operating cash flow growth (Y/Y)	N/A	Approximately 10% - 11%
Current remaining performance obligation growth (Y/Y)	Approximately 10%	N/A
FX Impact ⁽⁴⁾	(\$100M) Y/Y FX	N/A

⁽¹⁾ Revenue FX impact is calculated by taking the current period rates compared to the prior period average rates.

⁽²⁾ Non-GAAP CC revenue growth, non-GAAP operating margin and non-GAAP diluted net income per share are non-GAAP financial measures. See below for an explanation of non-GAAP financial measures. The Company's shares used in computing GAAP diluted net income per share guidance and non-GAAP diluted net income per share guidance excludes any impact to share count from potential Q1 - Q4 FY26 repurchase activity under our share repurchase program.

⁽³⁾ Subscription & support revenue excludes professional services revenue.

⁽⁴⁾ Current remaining performance obligation FX impact is calculated by taking the current period rates compared to the prior period ending rates.

The following is a reconciliation of GAAP operating margin guidance to non-GAAP operating margin guidance for the full year:

	Full Year FY26 Guidance
GAAP operating margin ⁽¹⁾	21.6%
Plus	
Amortization of purchased intangibles ⁽²⁾	3.7%
Stock-based compensation expense ⁽²⁾⁽³⁾	8.4%
Restructuring ⁽²⁾⁽³⁾	0.3%
Non-GAAP operating margin ⁽¹⁾	34.0%

⁽¹⁾ GAAP operating margin is the proportion of GAAP income from operations as a percentage of GAAP revenue. Non-GAAP operating margin is the proportion of non-GAAP income from operations as a percentage of GAAP revenue.

⁽²⁾ The percentages shown above have been calculated based on the midpoint of the low and high ends of the revenue guidance for full year FY26.

⁽³⁾ The percentages shown in the restructuring line have been calculated based on charges associated with the Company's restructuring initiatives. Stock-based compensation expense excludes stock-based compensation expense related to the Company's restructuring initiatives, which is included in the restructuring line.

The following is a per share reconciliation of GAAP diluted net income per share to non-GAAP diluted net income per share guidance for the next quarter and the full year:

	Fiscal 2026	
	Q1	FY26
GAAP diluted net income per share range ⁽¹⁾⁽²⁾	\$1.49 - \$1.51	\$6.95 - \$7.03
Plus		
Amortization of purchased intangibles	\$ 0.39	\$ 1.54
Stock-based compensation expense	\$ 0.86	\$ 3.47
Restructuring ⁽³⁾	\$ 0.03	\$ 0.13
Less		
Income tax effects and adjustments ⁽⁴⁾	\$ (0.24)	\$ (1.00)
Non-GAAP diluted net income per share ⁽²⁾	\$2.53 - \$2.55	\$11.09 - \$11.17
Shares used in computing basic net income per share (millions) ⁽⁵⁾	965	973
Shares used in computing diluted net income per share (millions) ⁽⁵⁾	980	985

⁽¹⁾ The Company's GAAP tax provision is expected to be approximately 23.5% for the three months ended April 30, 2025 and approximately 23.5% for the year ended January 31, 2026. The GAAP tax rates may fluctuate due to discrete tax items and related effects in conjunction with certain provisions in the Tax Cuts and Jobs Act, future acquisitions or other transactions.

⁽²⁾ The Company's projected GAAP and non-GAAP diluted net income per share assumes no change to the value of our strategic investment portfolio as it is not possible to forecast future gains and losses. The impact of future gains or losses from the Company's strategic investment portfolio could be material.

⁽³⁾ The estimated impact to GAAP diluted net income per share is in connection with the Company's restructuring initiatives.

⁽⁴⁾ The Company's non-GAAP tax provision uses a long-term projected tax rate of 22.0%, which reflects currently available information and could be subject to change.

⁽⁵⁾ The Company's shares used in computing GAAP net income per share guidance and non-GAAP net income per share guidance excludes any impact to share count from potential Q1 - Q4 FY26 repurchase activity under our share repurchase program.

For additional information regarding non-GAAP financial measures see the reconciliation of results and related explanations below.

Management will provide further commentary around these guidance assumptions on its earnings call.

Product Releases and Enhancements

Three times a year Salesforce delivers new product releases, services, or enhancements to current products and services. These releases are a result of significant research and development investments made over multiple years, designed to help customers drive cost savings, boost efficiency, and build trust.

To learn more about our newest innovations and product release highlights, including our latest Spring 2025 Product Release, visit: www.salesforce.com/releases.

Environmental, Social, and Governance (ESG) Strategy

To learn more about our latest initiatives and priorities, review our Stakeholder Impact Report: <https://salesforce.com/stakeholder-impact-report>.

Quarterly Conference Call

Salesforce plans to host a conference call at 2:00 p.m. (PT) / 5:00 p.m. (ET) to discuss its financial results with the investment community. A live webcast and replay details of the event will be available on the Salesforce Investor Relations website at www.salesforce.com/investor.

About Salesforce

Salesforce helps organizations of any size reimagine their business for the world of AI. With Agentforce, Salesforce's trusted platform, organizations can bring humans together with agents to drive customer success—powered by AI, data, and action. Visit www.salesforce.com for more information.

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"Safe harbor" statement under the Private Securities Litigation Reform Act of 1995: This press release contains forward-looking statements about the Company's financial and operating results and guidance, which include, but are not limited to, expected GAAP and non-GAAP financial and other operating and non-operating results, including revenue, net income, net income per share, operating cash flow growth, operating margin, expected revenue growth, expected foreign currency exchange rate impact, expected current remaining performance obligation growth, expected tax rates or provisions, stock-based compensation expenses, amortization of purchased intangibles, shares outstanding, market growth, strategic investments, expected restructuring expense or charges and expected timing of product releases and enhancements. The achievement or success of the matters covered by such forward-looking statements involves risks, uncertainties and assumptions. If any such risks or uncertainties materialize or if any of the assumptions prove incorrect, the Company's results or outcomes could differ materially and adversely from those expressed or implied by our forward-looking statements. Readers are cautioned not to place undue reliance on such forward-looking statements.

The risks and uncertainties referred to above include -- but are not limited to -- risks associated with:

- our ability to maintain sufficient security levels and service performance, avoid downtime and prevent, detect and remediate performance degradation and security breaches;
- our ability to secure sufficient data center capacity;
- our reliance on third-party infrastructure providers, including hardware, software and platform providers and the organizations responsible for the development and maintenance of the infrastructure of the Internet;
- uncertainties regarding AI technologies and their integration into our product offerings;
- the evolving landscape related to environmental, social and governance ("ESG") matters;
- the effect of evolving government regulations, including those related to our industry and providing services on or accessing the Internet, and those addressing ESG matters, data privacy, cybersecurity, cross-border data transfers, government contracting and procurement, and import and export controls;
- current and potential litigation and regulatory investigations involving us or our industry;
- our ability to successfully expand or introduce new services and product features, including related to AI and Agentforce;
- our ability to successfully complete, integrate and realize the benefits from acquisitions or other strategic transactions;
- uncertainties regarding the pace of change and innovation and our ability to compete in the markets in which we participate;
- our ability to successfully execute our business strategy and our business plans, including efforts to expand internationally and related risks;
- our ability to predict and meet expectations regarding our operating results and cash flows, including revenue and remaining performance obligation, including as a result of the seasonal nature of our sales cycle and the variability in our results arising from the accounting for term license revenue products and some complex transactions;
- our ability to predict and limit customer attrition and costs related to those efforts;
- the demands on our personnel and infrastructure resulting from significant growth in our customer base and operations, including as a result of acquisitions;
- our real estate and office facilities strategy and related costs and uncertainties;
- the performance of our strategic investment portfolio, including fluctuations in the fair value of our investments;
- our ability to protect our intellectual property rights;
- our ability to maintain and enhance our brands;

- uncertainties regarding the valuation and potential availability of certain tax assets;
- the impact of new accounting pronouncements and tax laws;
- uncertainties affecting our ability to estimate our tax rate, including our tax obligations in connection with potential jurisdictional transfer of intellectual property;
- uncertainties regarding the effect of geopolitical events, inflationary pressures, market and macroeconomic volatility, financial institution instability, changes in monetary policy, foreign currency exchange rate and interest rate fluctuations, uncertainty regarding the imposition of and changes in trade policies, including trade wars, tariffs or other trade restrictions or the threat of such actions and climate change, natural disasters and actual or threatened public health emergencies on our workforce, business, and operating results;
- uncertainties regarding the impact of expensing stock options and other equity awards;
- the sufficiency of our capital resources, including our ability to execute our share repurchase program and declare future cash dividends;
- our ability to comply with our debt covenants and lease obligations; and
- uncertainties regarding impacts to our workforce and workplace culture, such as those arising from our current and future office environments or remote work policies or our ability to realize the expected benefits of the restructuring plan.

Further information on these and other factors that could affect the Company's actual results or outcomes is included in the reports on Forms 10-K, 10-Q and 8-K and in other filings it makes with the Securities and Exchange Commission from time to time. These documents are available on the SEC Filings section of the Financials section of the Company's website at <http://investor.salesforce.com/financials/>.

Salesforce, Inc. assumes no obligation and does not intend to revise or update publicly any forward-looking statements for any reason, except as required by law.

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Salesforce, Inc.
Consolidated Statements of Operations
(in millions, except per share data)
(Unaudited)

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
Revenues:				
Subscription and support	\$ 9,451	\$ 8,748	\$ 35,679	\$ 32,537
Professional services and other	542	539	2,216	2,320
Total revenues	9,993	9,287	37,895	34,857
Cost of revenues (1)(2):				
Subscription and support	1,581	1,581	6,198	6,177
Professional services and other	636	567	2,445	2,364
Total cost of revenues	2,217	2,148	8,643	8,541
Gross profit	7,776	7,139	29,252	26,316
Operating expenses (1)(2):				
Research and development	1,420	1,275	5,493	4,906
Sales and marketing	3,471	3,437	13,257	12,877
General and administrative	767	632	2,836	2,534
Restructuring	298	173	461	988
Total operating expenses	5,956	5,517	22,047	21,305
Income from operations	1,820	1,622	7,205	5,011
Gains (losses) on strategic investments, net	96	(35)	(121)	(277)
Other income	72	58	354	216
Income before provision for income taxes	1,988	1,645	7,438	4,950
Provision for income taxes	(280)	(199)	(1,241)	(814)
Net income	\$ 1,708	\$ 1,446	\$ 6,197	\$ 4,136
Basic net income per share	\$ 1.78	\$ 1.49	\$ 6.44	\$ 4.25
Diluted net income per share (3)	\$ 1.75	\$ 1.47	\$ 6.36	\$ 4.20
Shares used in computing basic net income per share	959	970	962	974
Shares used in computing diluted net income per share	974	983	974	984

(1) Amounts include amortization of intangible assets acquired through business combinations, as follows:

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
Cost of revenues	\$ 150	\$ 235	\$ 750	\$ 978
Sales and marketing	232	223	901	891

(2) Amounts include stock-based compensation expense, as follows:

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
Cost of revenues	\$ 132	\$ 107	\$ 518	\$ 431
Research and development	277	237	1,091	972
Sales and marketing	294	247	1,205	1,062
General and administrative	100	76	367	299
Restructuring	0	7	2	23

(3) During the three months ended January 31, 2025 and 2024, gains (losses) on strategic investments impacted GAAP diluted net income per share by \$0.07 and \$(0.03) based on a U.S. tax rate of 24.0% and 24.5%, respectively, and non-GAAP diluted net income per share by \$0.08 and \$(0.03) based on a non-GAAP tax rate of 22.0% and 23.5%, respectively. During the fiscal year ended January 31, 2025 and 2024, losses on strategic investments impacted GAAP diluted net income per share by

\$(0.09) and \$(0.21) based on a U.S. tax rate of 24.0% and 24.5%, respectively, and non-GAAP diluted net income per share by \$(0.10) and \$(0.22) based on a non-GAAP tax rate of 22.0% and 23.5%, respectively.

Salesforce, Inc.

Consolidated Statements of Operations

(As a percentage of total revenues)

(Unaudited)

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
Revenues:				
Subscription and support	95 %	94 %	94 %	93 %
Professional services and other	5	6	6	7
Total revenues	100	100	100	100
Cost of revenues (1)(2):				
Subscription and support	16	17	16	18
Professional services and other	6	6	7	7
Total cost of revenues	22	23	23	25
Gross profit	78	77	77	75
Operating expenses (1)(2):				
Research and development	14	13	15	14
Sales and marketing	35	37	35	37
General and administrative	8	7	7	7
Restructuring	3	2	1	3
Total operating expenses	60	59	58	61
Income from operations	18	18	19	14
Gains (losses) on strategic investments, net	1	(1)	0	(1)
Other income	1	1	1	1
Income before provision for income taxes	20	18	20	14
Provision for income taxes	(3)	(2)	(4)	(2)
Net income	17 %	16 %	16 %	12 %

(1) Amounts include amortization of intangible assets acquired through business combinations as a percentage of total revenues, as follows:

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
Cost of revenues	2 %	3 %	2 %	3 %
Sales and marketing	2	2	2	2

(2) Amounts include stock-based compensation expense as a percentage of total revenues, as follows:

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
Cost of revenues	1 %	1 %	1 %	1 %
Research and development	3	3	3	3
Sales and marketing	3	3	3	3
General and administrative	1	0	1	1
Restructuring	0	0	0	0

Salesforce, Inc.
Condensed Consolidated Balance Sheets
(in millions)

	January 31, 2025	January 31, 2024
	(unaudited)	
Assets		
Current assets:		
Cash and cash equivalents	\$ 8,848	\$ 8,472
Marketable securities	5,184	5,722
Accounts receivable, net	11,945	11,414
Costs capitalized to obtain revenue contracts, net	1,971	1,905
Prepaid expenses and other current assets	1,779	1,561
Total current assets	29,727	29,074
Property and equipment, net	3,236	3,689
Operating lease right-of-use assets, net	2,157	2,366
Noncurrent costs capitalized to obtain revenue contracts, net	2,475	2,515
Strategic investments	4,852	4,848
Goodwill	51,283	48,620
Intangible assets acquired through business combinations, net	4,428	5,278
Deferred tax assets and other assets, net	4,770	3,433
Total assets	\$ 102,928	\$ 99,823
Liabilities and stockholders' equity		
Current liabilities:		
Accounts payable, accrued expenses and other liabilities	\$ 6,658	\$ 6,111
Operating lease liabilities, current	579	518
Unearned revenue	20,743	19,003
Debt, current	0	999
Total current liabilities	27,980	26,631
Noncurrent debt	8,433	8,427
Noncurrent operating lease liabilities	2,380	2,644
Other noncurrent liabilities	2,962	2,475
Total liabilities	41,755	40,177
Stockholders' equity:		
Common stock	1	1
Treasury stock, at cost	(19,507)	(11,692)
Additional paid-in capital	64,576	59,841
Accumulated other comprehensive loss	(266)	(225)
Retained earnings	16,369	11,721
Total stockholders' equity	61,173	59,646
Total liabilities and stockholders' equity	\$ 102,928	\$ 99,823

Salesforce, Inc.
Consolidated Statements of Cash Flows
(in millions)
(Unaudited)

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
Operating activities:				
Net income	\$ 1,708	\$ 1,446	\$ 6,197	\$ 4,136
Adjustments to reconcile net income to net cash provided by operating activities:				
Depreciation and amortization (1)	877	953	3,477	3,959
Amortization of costs capitalized to obtain revenue contracts, net	527	497	2,095	1,925
Stock-based compensation expense	803	674	3,183	2,787
(Gains) losses on strategic investments, net	(96)	35	121	277
Changes in assets and liabilities, net of business combinations:				
Accounts receivable, net	(7,171)	(6,564)	(490)	(659)
Costs capitalized to obtain revenue contracts, net	(1,016)	(966)	(2,121)	(1,872)
Prepaid expenses and other current assets and other assets	(232)	(93)	(1,495)	(843)
Accounts payable and accrued expenses and other liabilities	1,592	1,129	1,089	(478)
Operating lease liabilities	(161)	(147)	(548)	(621)
Unearned revenue	7,139	6,439	1,584	1,623
Net cash provided by operating activities	3,970	3,403	13,092	10,234
Investing activities:				
Business combinations, net of cash acquired	(2,217)	0	(2,734)	(82)
Purchases of strategic investments	(165)	(106)	(539)	(496)
Sales of strategic investments	8	6	126	108
Purchases of marketable securities	(1,838)	(934)	(6,879)	(3,761)
Sales of marketable securities	491	394	4,143	1,511
Maturities of marketable securities	939	319	3,378	2,129
Capital expenditures	(154)	(147)	(658)	(736)
Net cash used in investing activities	(2,936)	(468)	(3,163)	(1,327)
Financing activities:				
Repurchases of common stock	(76)	(1,692)	(7,829)	(7,620)
Proceeds from employee stock plans	484	869	1,540	1,954
Principal payments on financing obligations	(98)	(123)	(603)	(629)
Repayments of debt	0	0	(1,000)	(1,182)
Payments of dividends	(383)	0	(1,537)	0
Net cash used in financing activities	(73)	(946)	(9,429)	(7,477)
Effect of exchange rate changes	(110)	30	(124)	26
Net increase in cash and cash equivalents	851	2,019	376	1,456
Cash and cash equivalents, beginning of period	7,997	6,453	8,472	7,016
Cash and cash equivalents, end of period	\$ 8,848	\$ 8,472	\$ 8,848	\$ 8,472

(1) Includes amortization of intangible assets acquired through business combinations, depreciation of fixed assets and amortization and impairment of right-of-use assets.

Salesforce, Inc.
Additional Metrics
(Unaudited)

Supplemental Revenue Analysis

Remaining Performance Obligation

Remaining performance obligation ("RPO") represents contracted revenue that has not yet been recognized, which includes unearned revenue and unbilled amounts that will be recognized as revenue in future periods. RPO is influenced by several factors, including seasonality, the timing of renewals, the timing of term license deliveries, average contract terms and foreign currency exchange rates. Remaining performance obligation is also impacted by acquisitions. Unbilled portions of RPO denominated in foreign currencies are revalued each period based on the period end exchange rates. The portion of RPO that is unbilled is not recorded on the condensed consolidated balance sheets.

RPO consisted of the following (in billions):

	Current	Noncurrent	Total
As of January 31, 2025	\$ 30.2	\$ 33.2	\$ 63.4
As of October 31, 2024	26.4	26.7	53.1
As of July 31, 2024	26.5	27.0	53.5
As of April 30, 2024	26.4	27.5	53.9
As of January 31, 2024	27.6	29.3	56.9

Unearned Revenue

Unearned revenue represents amounts that have been invoiced in advance of revenue recognition and is recognized as revenue when transfer of control to customers has occurred or services have been provided. The change in unearned revenue was as follows (in millions):

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
Unearned revenue, beginning of period	\$ 13,472	\$ 12,564	\$ 19,003	\$ 17,376
Billings and other (1)	17,355	15,834	39,513	36,370
Contribution from contract asset	(223)	(108)	(34)	110
Revenue recognized over time	(9,182)	(8,463)	(35,628)	(32,727)
Revenue recognized at a point in time	(811)	(824)	(2,267)	(2,130)
Unearned revenue from business combinations	132	0	156	4
Unearned revenue, end of period	\$ 20,743	\$ 19,003	\$ 20,743	\$ 19,003

(1) Other includes, for example, the impact of foreign currency translation.

Disaggregation of Revenue

Subscription and Support Revenue by the Company's service offerings

Subscription and support revenues consisted of the following (in millions):

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
Sales	\$ 2,134	\$ 1,969	\$ 8,322	\$ 7,580
Service	2,327	2,158	9,054	8,245
Platform and Other	1,918	1,720	7,247	6,611
Marketing and Commerce	1,357	1,274	5,281	4,912
Integration and Analytics	1,715	1,627	5,775	5,189
	\$ 9,451	\$ 8,748	\$ 35,679	\$ 32,537

Total Revenue by Geographic Locations

Revenues by geographical region consisted of the following (in millions):

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
Americas	\$ 6,660	\$ 6,176	\$ 25,143	\$ 23,289
Europe	2,334	2,205	8,891	8,128
Asia Pacific	999	906	3,861	3,440
	<u>\$ 9,993</u>	<u>\$ 9,287</u>	<u>\$ 37,895</u>	<u>\$ 34,857</u>

Constant Currency Growth Rates

Subscription and support revenues constant currency growth rates by the Company's service offerings were as follows:

	Three Months Ended January 31, 2025 Compared to Three Months Ended January 31, 2024	Three Months Ended October 31, 2024 Compared to Three Months Ended October 31, 2023	Three Months Ended January 31, 2024 Compared to Three Months Ended January 31, 2023
Sales	9%	11%	10%
Service	9%	10%	12%
Platform and Other	12%	8%	10%
Marketing and Commerce	8%	8%	7%
Integration and Analytics	6%	5%	21%
Total growth	9%	9%	12%

Revenue constant currency growth rates by geographical region were as follows:

	Three Months Ended January 31, 2025 Compared to Three Months Ended January 31, 2024	Three Months Ended October 31, 2024 Compared to Three Months Ended October 31, 2023	Three Months Ended January 31, 2024 Compared to Three Months Ended January 31, 2023
Americas	8%	6%	9%
Europe	7%	9%	11%
Asia Pacific	14%	14%	19%
Total growth	9%	8%	10%

Current remaining performance obligation constant currency growth rates were as follows:

	January 31, 2025 Compared to January 31, 2024	October 31, 2024 Compared to October 31, 2023	January 31, 2024 Compared to January 31, 2023
Total growth	11%	10%	13%

Salesforce, Inc.

GAAP Results Reconciled to Non-GAAP Results

The following tables reflect selected GAAP results reconciled to Non-GAAP results.

(in millions, except per share data)

(Unaudited)

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
<u>Non-GAAP income from operations</u>				
GAAP income from operations	\$ 1,820	\$ 1,622	\$ 7,205	\$ 5,011
Plus:				
Amortization of purchased intangibles (1)	382	458	1,651	1,869
Stock-based compensation expense (2)(3)	803	667	3,181	2,764
Restructuring	298	173	461	988
Non-GAAP income from operations	\$ 3,303	\$ 2,920	\$ 12,498	\$ 10,632
<u>Non-GAAP operating margin as a percentage of revenues</u>				
Total revenues	\$ 9,993	\$ 9,287	\$ 37,895	\$ 34,857
GAAP operating margin (4)	18.2 %	17.5 %	19.0 %	14.4 %
Non-GAAP operating margin (4)	33.1 %	31.4 %	33.0 %	30.5 %
<u>Non-GAAP net income</u>				
GAAP net income	\$ 1,708	\$ 1,446	\$ 6,197	\$ 4,136
Plus:				
Amortization of purchased intangibles (1)	382	458	1,651	1,869
Stock-based compensation expense (2)(3)	803	667	3,181	2,764
Restructuring	298	173	461	988
Income tax effects and adjustments	(484)	(493)	(1,560)	(1,670)
Non-GAAP net income	\$ 2,707	\$ 2,251	\$ 9,930	\$ 8,087

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
<u>Non-GAAP diluted net income per share</u>				
GAAP diluted net income per share	\$ 1.75	\$ 1.47	\$ 6.36	\$ 4.20
Plus:				
Amortization of purchased intangibles (1)	0.39	0.47	1.70	1.90
Stock-based compensation expense (2)(3)	0.82	0.68	3.27	2.81
Restructuring	0.31	0.18	0.47	1.00
Income tax effects and adjustments	(0.49)	(0.51)	(1.60)	(1.69)
Non-GAAP diluted net income per share	\$ 2.78	\$ 2.29	\$ 10.20	\$ 8.22
Shares used in computing non-GAAP diluted net income per share	974	983	974	984

(1) Amortization of purchased intangibles was as follows:

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
Cost of revenues	\$ 150	\$ 235	\$ 750	\$ 978
Sales and marketing	232	223	901	891
	\$ 382	\$ 458	\$ 1,651	\$ 1,869

(2) Stock-based compensation expense, excluding stock-based compensation expense related to restructuring, was as follows:

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
Cost of revenues	\$ 132	\$ 107	\$ 518	\$ 431
Research and development	277	237	1,091	972
Sales and marketing	294	247	1,205	1,062
General and administrative	100	76	367	299
	<u>\$ 803</u>	<u>\$ 667</u>	<u>\$ 3,181</u>	<u>\$ 2,764</u>

(3) Stock-based compensation expense included in the GAAP to non-GAAP reconciliation tables above excludes stock-based compensation expense related to restructuring activities for each of the three months ended January 31, 2025 and 2024 of \$0 million and \$7 million, respectively, and for the fiscal year ended January 31, 2025 and 2024 of \$2 million and \$23 million, respectively, which are included in the restructuring line.

(4) GAAP operating margin is the proportion of GAAP income from operations as a percentage of GAAP revenue. Non-GAAP operating margin is the proportion of non-GAAP income from operations as a percentage of GAAP revenue. Non-GAAP income from operations excludes the impact of the amortization of purchased intangibles, stock-based compensation expense and charges associated with the Company's restructuring activities.

Salesforce, Inc.
Computation of Basic and Diluted GAAP and Non-GAAP Net Income Per Share

(in millions, except per share data)

(Unaudited)

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
GAAP Basic Net Income Per Share				
Net income	\$ 1,708	\$ 1,446	\$ 6,197	\$ 4,136
Basic net income per share	\$ 1.78	\$ 1.49	\$ 6.44	\$ 4.25
Shares used in computing basic net income per share	959	970	962	974

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
Non-GAAP Basic Net Income Per Share				
Non-GAAP net income	\$ 2,707	\$ 2,251	\$ 9,930	\$ 8,087
Non-GAAP basic net income per share	\$ 2.82	\$ 2.32	\$ 10.32	\$ 8.30
Shares used in computing non-GAAP basic net income per share	959	970	962	974

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
GAAP Diluted Net Income Per Share				
Net income	\$ 1,708	\$ 1,446	\$ 6,197	\$ 4,136
Diluted net income per share	\$ 1.75	\$ 1.47	\$ 6.36	\$ 4.20
Shares used in computing diluted net income per share	974	983	974	984

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
Non-GAAP Diluted Net Income Per Share				
Non-GAAP net income	\$ 2,707	\$ 2,251	\$ 9,930	\$ 8,087
Non-GAAP diluted net income per share	\$ 2.78	\$ 2.29	\$ 10.20	\$ 8.22
Shares used in computing non-GAAP diluted net income per share	974	983	974	984

Supplemental Cash Flow Information
Computation of Free Cash Flow, a Non-GAAP Measure

(in millions)

(Unaudited)

	Three Months Ended January 31,		Fiscal Year Ended January 31,	
	2025	2024	2025	2024
GAAP net cash provided by operating activities	\$ 3,970	\$ 3,403	\$ 13,092	\$ 10,234
Capital expenditures	(154)	(147)	(658)	(736)
Free cash flow	\$ 3,816	\$ 3,256	\$ 12,434	\$ 9,498

Non-GAAP Financial Measures: This press release includes information about non-GAAP operating margin, non-GAAP net income per share, non-GAAP tax rates, free cash flow, constant currency revenue, constant currency subscription and support revenue growth rate and constant currency current remaining performance obligation growth rates (collectively the “non-GAAP financial measures”). These non-GAAP financial measures are measurements of financial performance that are not prepared in accordance with U.S. generally accepted accounting principles and computational methods may differ from those used by other companies. Non-GAAP financial measures are not meant to be considered in isolation or as a substitute for comparable GAAP measures and should be read only in conjunction with the Company’s consolidated financial statements prepared in accordance with GAAP. Management uses both GAAP and non-GAAP measures when planning, monitoring and evaluating the Company’s performance.

The primary purpose of using non-GAAP measures is to provide supplemental information that may prove useful to investors and to enable investors to evaluate the Company’s results in the same way management does. Management believes that supplementing GAAP disclosure with non-GAAP disclosure provides investors with a more complete view of the Company’s operational performance and allows for meaningful period-to-period comparisons and analysis of trends in the Company’s business. Further to the extent that other companies use similar methods in calculating non-GAAP measures, the provision of supplemental non-GAAP information can allow for a comparison of the Company’s relative performance against other companies that also report non-GAAP operating results.

Non-GAAP Operating Margin is the proportion of non-GAAP income from operations as a percentage of GAAP revenue. Non-GAAP income from operations excludes the impact of the following items: stock-based compensation expense, amortization of acquisition-related intangibles and charges associated with the Company’s restructuring activities. Non-GAAP net income per share excludes, to the extent applicable, the impact of the following items: stock-based compensation expense, amortization of purchased intangibles, charges related to the Company’s restructuring activities and income tax adjustments. These items are excluded because the decisions that give rise to them are not made to increase revenue in a particular period, but instead for the Company’s long-term benefit over multiple periods.

As described above, the Company excludes or adjusts for the following in its non-GAAP results and guidance:

- **Stock-Based Compensation Expense:** The Company’s compensation strategy includes the use of stock-based compensation expense to attract and retain employees and executives. It is principally aimed at aligning their interests with those of our stockholders and at long-term employee retention, rather than to motivate or reward operational performance for any particular period. Thus, stock-based compensation expense varies for reasons that are generally unrelated to operational decisions and performance in any particular period.
- **Amortization of Purchased Intangibles:** The Company views amortization of acquisition-related intangible assets, such as the amortization of the cost associated with an acquired company’s research and development efforts, trade names, customer lists and customer relationships, and, in some cases, acquired lease intangibles, as items arising from pre-acquisition activities determined at the time of an acquisition. While these intangible assets are continually evaluated for impairment, amortization of the cost of purchased intangibles is a static expense, which is not typically affected by operations during any particular period. Although the Company excludes the amortization of purchased intangibles from these non-GAAP measures, management believes that it is important for investors to understand that such intangible assets were recorded as part of purchase accounting and contribute to revenue generation.
- **Restructuring:** Restructuring charges are costs associated with a formal restructuring plan and may include employee notice period costs and severance payments, lease or contract termination costs, asset impairments, accelerated depreciation and amortization and other related expenses. The Company excludes these restructuring charges because they are distinct from ongoing operational costs and it does not believe they are reflective of current and expected future business performance and operating results.
- **Gains (Losses) on Strategic Investments, net:** The Company records all fair value adjustments to its equity securities held within the strategic investment portfolio through the statement of operations. As it is not possible to forecast future gains and losses, the Company assumes no change to the value of its strategic investment portfolio in its GAAP and non-GAAP estimates for future periods, including its guidance. Gains (Losses) on Strategic Investments, net, are included in its GAAP financial statements.
- **Income Tax Effects and Adjustments:** The Company utilizes a fixed long-term projected non-GAAP tax rate in order to provide better consistency across the interim reporting periods by eliminating the effects of items such as changes in the tax valuation allowance and tax effects of acquisition-related costs, since each of these can vary in size and

frequency. When projecting this long-term rate, the Company evaluated a three-year financial projection that excludes the direct impact of the following non-cash items: stock-based compensation expenses and the amortization of purchased intangibles. The projected rate also considers factors including the Company's expected tax structure, its tax positions in various jurisdictions and key legislation in major jurisdictions where the Company operates. For fiscal 2025 and 2024, the Company used a projected non-GAAP tax rate of 22.0% and 23.5%, respectively. For fiscal 2026, the Company uses a projected non-GAAP tax rate of 22.0%, which reflects currently available information, as well as other factors and assumptions. The non-GAAP tax rate could be subject to change for a variety of reasons, including the rapidly evolving global tax environment, significant changes in the Company's geographic earnings mix due to acquisition activity or other changes to the Company's strategy or business operations. The Company will re-evaluate its long-term rate as appropriate.

The Company presents constant currency information to provide a framework for assessing how the Company's underlying business performed excluding the effect of foreign currency rate fluctuations. To present constant currency revenue growth rates, current and comparative prior period results for entities reporting in currencies other than United States dollars are converted into United States dollars at the weighted average exchange rate for the quarter being compared to rather than the actual exchange rates in effect during that period. To present current remaining performance obligation growth rates on a constant currency basis, current remaining performance obligation balances in local currencies in previous comparable periods are converted using the United States dollar currency exchange rate as of the most recent balance sheet date.

The Company defines the non-GAAP measure free cash flow as GAAP net cash provided by operating activities, less capital expenditures.